

STEP TWO: TEST THE WATERS

If your financial situation is primed for action, it's time to get started. You're going to contact some potential lenders and tell them your credit score, monthly income, and monthly debt payments. Then you'll ask for a ballpark figure for a loan you might qualify for.

Make sure you are 100 percent clear that you do not want them to run your credit at this time. You're looking for a general figure of what you can realistically afford so you can start looking at prospective properties. You're not quite ready to begin your search in earnest, and you don't want a hard credit inquiry bogging down your credit score before it's absolutely necessary.

This ballpark figure will give you a chance to start browsing homes within your price range, so you'll know exactly what you want when the time comes. At this point, you'll return to the guidance in Chapter Five to figure out what you want and what's a good deal—except now you'll have some real numbers to work with, and you can paint an even clearer picture of your goals.

STEP THREE: A LIST OF LENDERS

As homeowners and real estate investors, we the authors have personal relationships with our lenders. We value a sense of trust that can expedite the preapproval process, the chance to get on the phone with them, and the ability to make an offer in real time. A great lender in our business can help us close more deals faster, and they have a complete understanding of our somewhat complicated income streams. They'll even point us in the right direction if we need other types of financing.

Finding the perfect lender isn't easy. Lucky for you, a first-time home buyer doesn't need a *perfect* lender. As long as you have reasonably normal income and good credit, your relationship with your lender is much less important. You won't be buying houses year in and year out, so you don't need all the bells and whistles. In the case of a typical home buyer, the situation is much simpler: The lender with the best mortgage rate wins.